ESG **80/100** LEADER

EQUITY NOTE · ELECTRICAL EQUIPMENT · 5 NOVEMBER 2026

# Legrand

LR FP · Euronext Paris · ISIN FR0010307819 · Electrical and digital building infrastructure, data centres

*The third quarter beat consensus by about 10% and guidance went up, yet the shares ended the day flat. The business is excellent. At 15.8x EBITDA the price already pays for it.*

RATING

## Reduce

| | |
|---|---|
| Target price | €114 |
| Price (05/11/2026) | €127.50 |
| Potential | −11% |
| P/E 2026E | 23.3x |

## 01 Investment thesis

**We initiate on Legrand with a REDUCE rating and a target price of €114, 11% below the 5 November close of €127.50.** On that day Legrand reported nine-month results with third-quarter sales about 9% and adjusted operating profit about 10% above consensus, and raised its 2026 organic growth guidance from 8-10% to 11-13%. The shares rose as much as 5.9% in the morning, then gave it all back with the rest of the sector. This is a good company at a full price.

### Three reasons

- **The price already assumes the strong run continues.** Our base DCF gives €97.8 per share. Even our bull case, at €114.4, is below the price. The market

price implies a discount rate of 7.6%, against our WACC of 8.9%.

- **Growth is now bought as well as earned.** Organic growth was 12.7% over nine months, but acquisitions added another 8.3%. Net debt rose 72% in a year to €5.4bn, or 2.2 times trailing EBITDA. Europe, a core region, shrank 0.9% organically.
- **Peers are expensive too, which limits the downside.** At 15.8x trailing EBITDA Legrand trades below the peer median of 18.0x. Comparables value it at about €138. This is why our target is only 11% below the price and not 25%.

> WHAT WOULD MAKE US WRONG
>
> Data-centre demand could stay near 40% growth for longer than we model, and the 2026 acquisitions could lift the margin. Analysts are far more positive than we are: the 18 brokers tracked by StockAnalysis have an average target of €171 and 14 of them say Buy. If the margin reaches 22% and growth stays above 6% to 2030, our bull case applies and the shares are worth about €114.4, still below today's price. To reach €127.50 in our model a discount rate below 7.6% is needed.

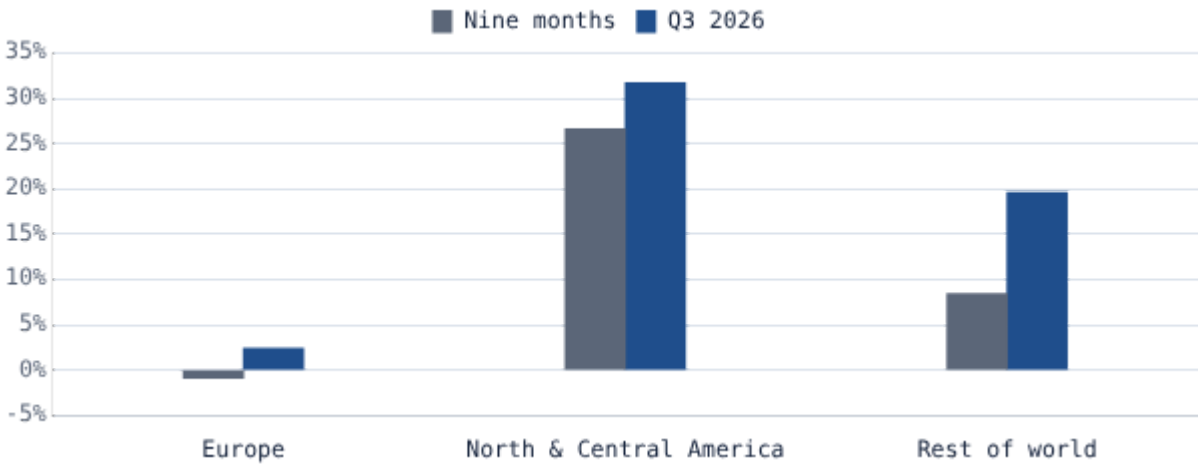
| INDICATOR | VALUE | BASIS |
|---|---|---|
| P/E | 23.3x | 2026E EPS €5.48 (Puccetti Capital Research estimate) |
| EV / EBITDA | 15.4x | 2026E EBITDA €2,531m, EV €39.1bn |
| EV / EBITDA (last 12 months) | 15.8x | EBITDA to September €2,390m (StockAnalysis) |
| EV / Sales | 3.5x | 2026E revenue €11.3bn |
| Free cash flow yield | 4.5% | FCF to September €1,492m on market cap €33.4bn |
| Dividend yield | 1.9% | €2.38 per share for 2025 |

## 02 The surprise: a quarter far above expectations, a share price that did not follow

Legrand published its nine-month results before the market opened on 5 November. Third-quarter sales were €2,929m, 9% above the €2,674m consensus, with organic growth of 18.8%. Adjusted operating profit was €608m against a consensus of €552m, a margin of 20.8%. Management raised the 2026 organic growth target to 11-13% from 8-10%. The new midpoint is two points above the consensus of about 10%. The margin target of 20.5-21.0% was kept.

The shares opened sharply higher. Investing.com reported a gain of 5.4% and a high of €135.20, against a close of €127.70 the day before. By the close the gain was gone: Yahoo Finance shows €127.50, down 0.2%. Other electrical and data-centre names fell during the same session. At the time of the quotes we checked, Eaton was down 5.0%, nVent 10.1%, ABB 4.4% and Prysmian 3.5%. We did not find a single stated cause, so we treat the reversal as a sector move, not a verdict on Legrand. The shares had also fallen 4.6% on 4 November and 5.8% on 22 October, and are 24% below their 52-week high of €167.

Exhibit 1 **Organic sales growth by region, Q3 2026 and nine months**




Legrand press release of 5 November 2026. North and Central America includes the United States (+28.7% over nine months).

| Q3 AND 9M 2026 | ACTUAL | CONSENSUS / PRIOR | COMMENT |
|---|---|---|---|
| **Q3 sales (€m)** | **2,929** | **2,674** | **About 9% above consensus; +33% reported, +18.8% organic** |
| Q3 adjusted operating profit (€m) | 608 | 552 | About 10% above; margin 20.8% |
| 9M sales (€m) | 8,329 | 6,971 | +19.5%: organic +12.7%, scope +8.3%, currency −2.1% |
| 9M adjusted operating profit (€m) | 1,732 | 1,443 | +20.0%; margin 20.8% |
| 9M net profit (€m) | 1,067 | 892 | +19.6% |
| 9M free cash flow (€m) | 1,010 | 871 | +15.9%; 12.1% of sales |
| Net financial debt (€m) | 5,373 | 3,122 | +72% in twelve months |
| 2026 organic growth guidance | 11-13% | 8-10% | Total growth 20-22% (was 16-19%); margin 20.5-21.0% kept |

Prior-year 9M figures are derived from the reported growth rates. Consensus for Q3 as quoted by Investing.com. Q3 sales are 9M less H1 (StockAnalysis quarterly data).

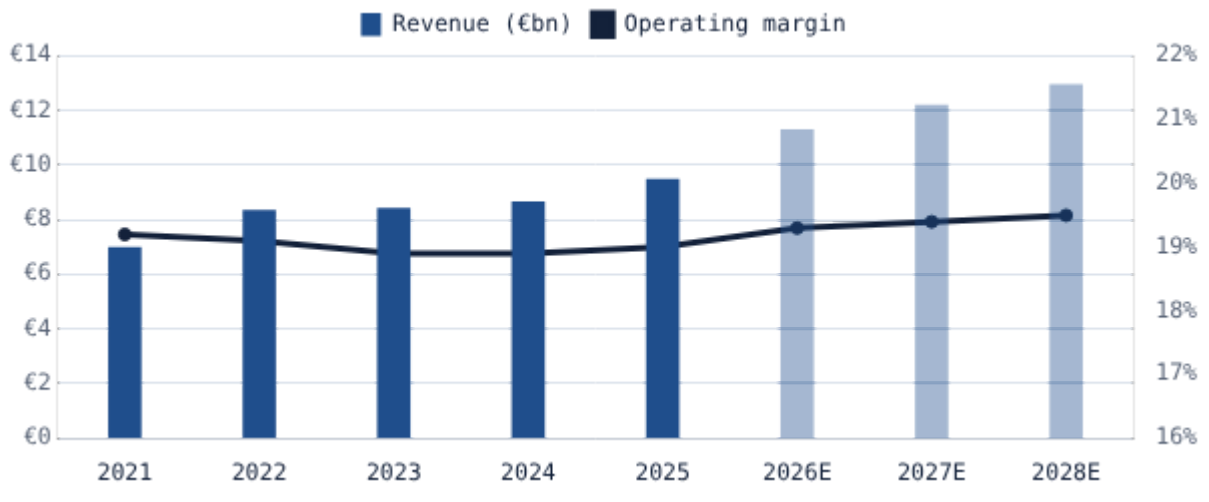
## 03 History and estimates

Legrand sells switches, sockets, cable management, power distribution and, increasingly, equipment for data centres. Revenue grew from €7.0bn in 2021 to €9.5bn in 2025, a 7.9% average annual rate, and our 2026 estimate is €11.3bn, up 19%. The reported operating margin has stayed in a narrow band of 18.9-19.2% for five years, even as the business changed. Reported growth was only 0.9% in 2023 and 2.8% in 2024, then 2025 and 2026 were lifted by data centres and by acquisitions. The workforce stands at 40,931 according to StockAnalysis.

| €M, EXCEPT PER SHARE | 2021A | 2022A | 2023A | 2024A | 2025A | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|---|
| **Revenue** | **6,994** | **8,339** | **8,417** | **8,649** | **9,481** | **11,300** | **12,204** | **12,936** |
| Growth | n/a | +19.2% | +0.9% | +2.8% | +9.6% | +19.2% | +8.0% | +6.0% |
| Operating income (reported) | 1,342 | 1,592 | 1,587 | 1,638 | 1,804 | 2,181 | 2,368 | 2,523 |
| Operating margin | 19.2% | 19.1% | 18.9% | 18.9% | 19.0% | 19.3% | 19.4% | 19.5% |
| Net income | 905 | 1,000 | 1,149 | 1,166 | 1,245 | 1,437 | 1,560 | 1,662 |
| EPS (€) | 3.37 | 3.73 | 4.30 | 4.42 | 4.70 | 5.48 | 5.95 | 6.34 |
| Dividend per share (€) | 1.65 | 1.90 | 2.09 | 2.20 | 2.38 | n/a | n/a | n/a |
| Free cash flow | 973 | 1,059 | 1,614 | 1,313 | 1,356 | 1,500 | n/a | n/a |
| Net debt, year-end | 2,518 | 2,254 | 2,004 | 3,004 | 4,222 | 5,373* | n/a | n/a |

A = reported (StockAnalysis, from company accounts), E = Puccetti Capital Research estimate. *30 September 2026, reported. The 2026E operating income is nine months reported (€1,595m) plus a fourth quarter of €586m. Consensus for 2026 is revenue €11.1bn and EPS €5.96 (StockAnalysis); the EPS gap probably reflects a different definition, as we use reported net income. Consensus 2027: revenue €12.4bn, EPS €6.87. Our 2027E is €12.2bn and €5.95.

Exhibit 2 **Revenue (€bn) and reported operating margin**




### Key events and investments

- **2022-23:** few acquisitions (€236m, €93m); €439m of shares bought back in 2023.
- **2024:** €1.5bn spent on acquisitions; goodwill up from €5.5bn to €6.9bn. In October the French competition authority fined Legrand €43m for price practices from 2012 to 2015. The company rejects the finding.
- **2025:** another €1.3bn of acquisitions. In November the shares fell about 11% on the nine-month release, after expectations for data centres had run ahead of the figures.
- **2026:** seven deals announced, worth about €450m of annual revenue: Kratos and Girtz (United States), TES and Axel Health (Europe), Green4T (Brazil), SRS Power Engineering (Malaysia) and Keydak (China). Goodwill reached €8.7bn.
- **Data centres:** organic growth close to 40% over nine months.

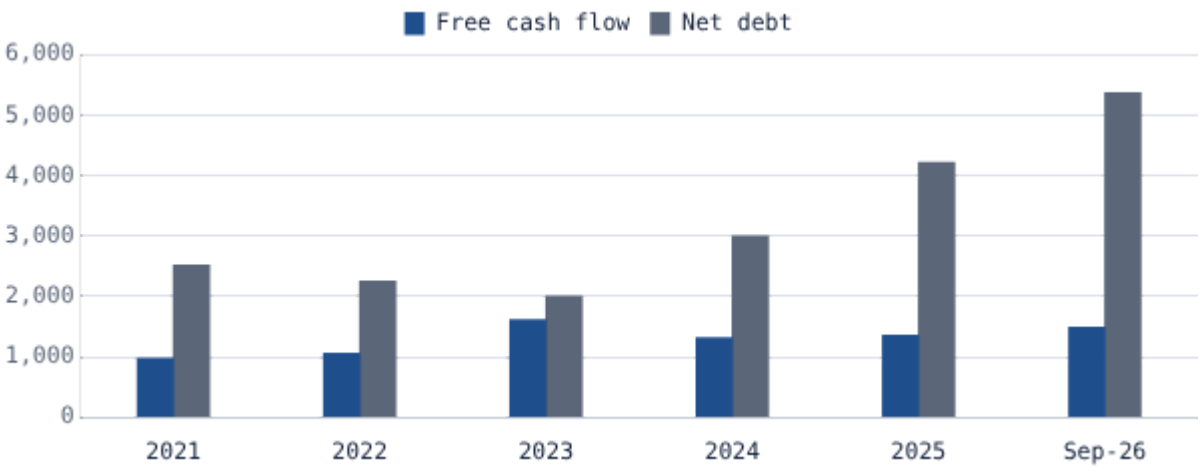
## 04 Cash flow and balance sheet

| €M | 2023A | 2024A | 2025A | TTM SEP-26 |
|---|---|---|---|---|
| Operating cash flow | 1,836 | 1,523 | 1,577 | 1,728 |
| Capex | −223 | −210 | −221 | −237 |
| **Free cash flow** | **1,614** | **1,313** | **1,356** | **1,492** |
| Dividends paid | −504 | −547 | −576 | −623 |
| Cash acquisitions | −93 | −1,510 | −1,314 | −2,242 |
| Share buybacks | −439 | −46 | −111 | −74 |
| Net debt | 2,004 | 3,004 | 4,222 | 5,371 |

Legrand turns about 12% of sales into free cash flow and spends little on capex, about 2.1% of sales. That cash pays the dividend, which takes around 40%. The rest, and a growing amount of borrowing, goes into acquisitions: €1.5bn in 2024, €1.3bn in 2025 and €2.2bn in the twelve months to September. Net debt has risen from €2.0bn to €5.4bn in less than three years, and total debt is €7.7bn against cash of €2.3bn.

Leverage is 2.2 times trailing EBITDA and interest cover is 10.4 times, so there is no solvency concern. The point is about quality of growth: free cash flow growth of 15.9% in nine months is lower than sales growth of 19.5%, and the 2026 deals have not yet shown their full cost in cash. Goodwill is now €8.7bn of €20.1bn total assets, 43%. Equity is €7.9bn.

Exhibit 3 **Free cash flow and year-end net debt (€m)**



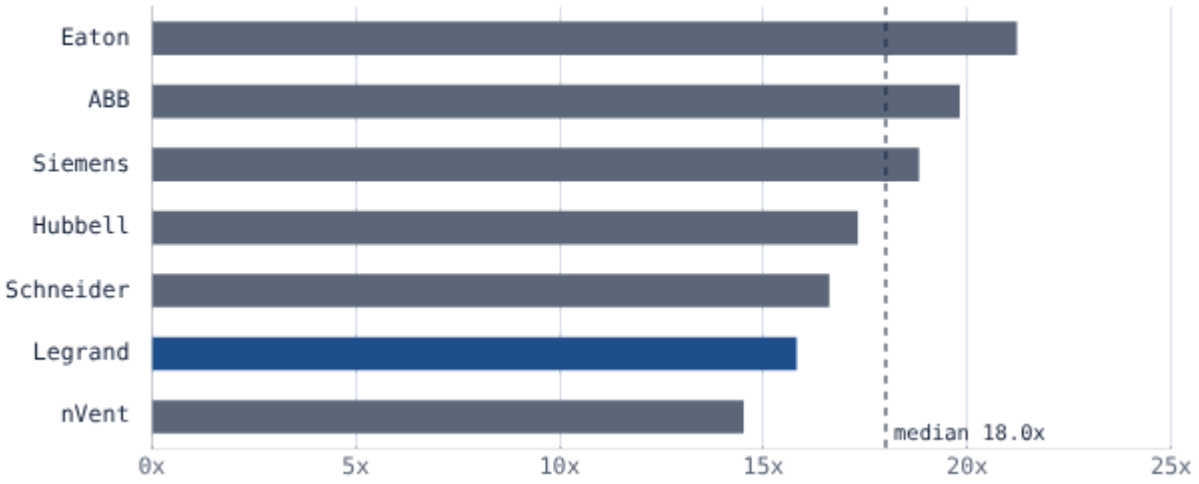

StockAnalysis, from company accounts. Last point: twelve months to 30 September 2026 for free cash flow, 30 September for net debt.

## 05 Trading comparables

| COMPANY | COUNTRY | EV/EBITDA | P/E (FWD) | EV/SALES | DATE |
|---|---|---|---|---|---|
| **Legrand** | **France** | **15.8x** | **19.2x** | **3.65x** | **05/11** |
| Schneider Electric | France | 16.6x | 19.2x | 3.52x | 05/11 |
| ABB | Switzerland | 19.8x | 22.1x | 4.12x | 05/11 |
| Siemens | Germany | 18.8x | 21.9x | 3.21x | 05/11 |
| Eaton | United States | 21.2x | 21.2x | 4.68x | 05/11 |
| Hubbell | United States | 17.3x | 18.8x | 4.20x | 05/11 |
| nVent | United States | 14.5x | 15.5x | 3.20x | 05/11 |
| **Median (peers)** | | **18.0x** | **20.2x** | **3.82x** | |

StockAnalysis statistics pages on 5 November 2026 (US names quoted during the New York session), last-twelve-month EBITDA and sales, consensus forward P/E. Peers are mixed in size and mix; Siemens and ABB are conglomerates.

Exhibit 4 **EV/EBITDA, Legrand against peers**




Legrand trades at a discount of about 12% to the peer median on EV/EBITDA and 5% on forward P/E. The discount is explained by size and exposure: Eaton and ABB have a larger share of power and grid equipment, and Legrand still depends on building markets in Europe.

Applying the peer lower and upper quartiles (16.8x to 19.5x EBITDA) gives €131.2 to €156.2 per share, with €142.5 at the median. On forward P/E (18.9x to 21.7x) the range is €125.2 to €144.0 and the median gives €134.2. These numbers are far above our DCF. Peer multiples are also high today, so the comparables tell us that Legrand is priced like its sector, not that the sector is cheap.

## 06 DCF: Base, Bull and Bear

| PARAMETER | VALUE |
|---|---|
| Risk-free rate (French 10-year OAT, 5/11) | 4.80% |
| Equity risk premium | 5.50% |
| Beta (5-year 1.00, Blume-adjusted) | 1.00 |
| Cost of equity | 10.3% |
| Cost of debt after tax (4.0% pre-tax, estimate) | 3.0% |
| Weights equity / debt (market, gross debt) | 81.3% / 18.7% |
| **WACC** | **8.9%** |
| Tax rate | 26% |
| D&A = capex / working capital | 2.1% / 12% of extra sales |

| SCENARIO | GROWTH 2027-30 | ADJ. MARGIN | G | VALUE |
|---|---|---|---|---|
| Bear | 4% to 3% | 19.5% | 2.0% | €75.7 |
| **Base** | **8% to 5%** | **21.0%** | **2.0%** | **€97.8** |
| Bull | 9.5% to 6.5% | 22.0% | 2.0% | €114.4 |

The model runs ten years, from the fourth quarter of 2026 to 2035, with mid-year discounting, and values the company at 5 November 2026. It starts from 2026 revenue of €11.3bn. In the base case sales grow 8% in 2027 (part of it the full-year effect of the 2026 deals), then slow to 2.5% by 2035. The adjusted operating margin is 20.8% in 2026 and 21.0% from 2029, the top of the guided range. Enterprise value is €31.3bn, of which €13.8bn comes from the ten years and €17.5bn (56%) from the terminal value. Deducting net debt of €5.4bn and €0.3bn for minorities and pensions (our estimate) gives equity of €25.6bn, or €97.8 per share. The implied exit multiple is 9.7x EBITDA, well below today's 15.8x, and this is the main reason our DCF sits below the market. Weighting the scenarios 25/50/25 gives €96.5. We tax the adjusted operating profit and give no credit for the tax shield on acquisition amortisation, which is a conservative choice.

The French 10-year yield of 4.8% is high by recent standards and pushes the cost of equity to 10.3%. If the yield fell back to 3.5%, WACC would be about 7.9% and the base value about €118 (see the first row of the table below), still below the price.

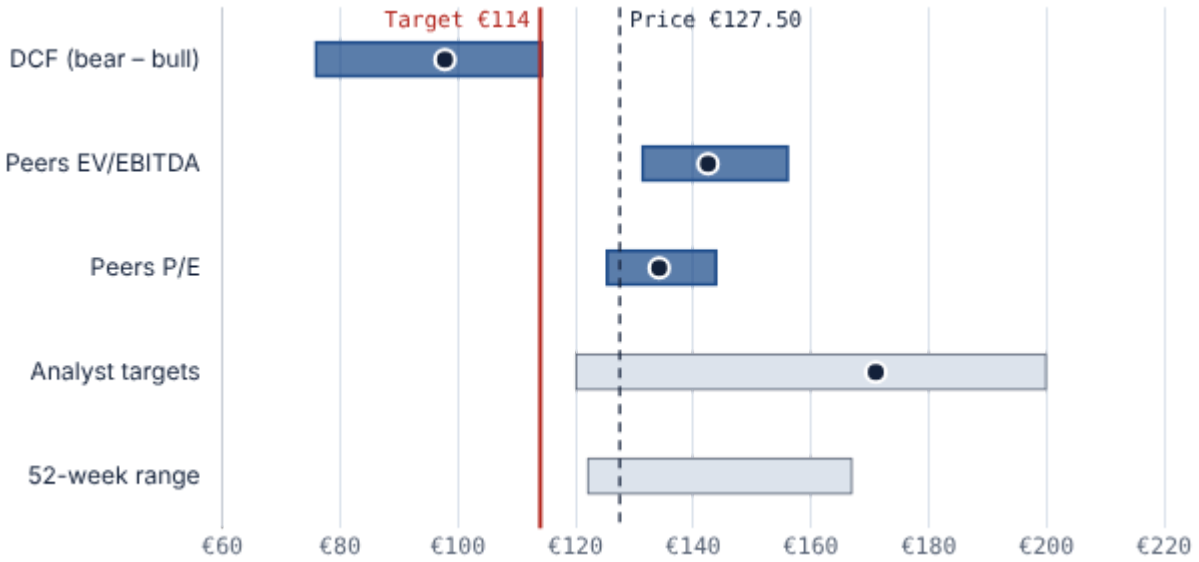
Exhibit 5 **Sensitivity: value per share (€) by WACC and terminal growth**

| WACC \ G | 1.50% | 1.75% | 2.00% | 2.25% | 2.50% |
|---|---|---|---|---|---|
| 7.9% | 111.0 | 114.4 | 118.0 | 121.9 | 126.2 |
| 8.4% | 101.3 | 104.1 | 107.1 | 110.3 | 113.8 |
| **8.9%** | 93.0 | 95.3 | **97.8** | 100.4 | 103.3 |
| 9.4% | 85.7 | 87.6 | 89.7 | 91.9 | 94.3 |
| 9.9% | 79.3 | 80.9 | 82.7 | 84.6 | 86.6 |

The current price of €127.50 is only reached with a WACC of about 7.6% at 2% growth. No cell of the table reaches it, even at 7.9% and 2.5% growth (€126.2).

## 07 Target price and recommendation

Exhibit 6 **Valuation range by method (€ per share)**




Bars: low to high. Dot: central value. Dashed line: price €127.50. Solid line: target €114.

| METHOD | CENTRAL | WEIGHT | LOW | HIGH | POTENTIAL |
|---|---|---|---|---|---|
| DCF (base) | €97.8 | 60% | €75.7 | €114.4 | −23% |
| Peers EV/EBITDA (quartiles, median) | €142.5 | 20% | €131.2 | €156.2 | +12% |
| Peers P/E (quartiles, median) | €134.2 | 20% | €125.2 | €144.0 | +5% |
| *Dividend model (memo)* | *n/a* | *0%* | *n/a* | *n/a* | *n/a* |
| **Target price (weighted, rounded)** | **€114** | **100%** | | | **−10.6%** |

The weighted value is €114.0, rounded to €114. The dividend yield of 1.9% is too low for a dividend model to carry weight. The two comparables methods sit 5% to 12% above the price and the DCF sits 23% below, so the answer depends on how much weight the DCF gets. We give it 60% because it is the only method that tests the growth and margin assumptions directly.

RECOMMENDATION · REDUCE · TARGET €114

Our target is far below the consensus: the 18 analysts tracked by StockAnalysis have an average target of €171 (range €120 to €200) and a Buy consensus, with 14 of 18 at Buy or Strong buy. The gap comes from the discount rate. Broker targets imply a lower discount rate or a higher exit multiple than ours: we use 8.9% and let the terminal value fall to 9.7x EBITDA. We do not say that Legrand is a bad company: the margin is stable and cash generation is strong. We would turn neutral below €120, or if the 2026 acquisitions lifted organic growth in Europe above 3%.

## 08 Risks and catalysts

### Risks to our view (upside and downside)

- **Data-centre cycle.** Growth of nearly 40% in this business is the core of the story. Hyperscaler capital spending can slow quickly; if it does, the Q3 organic rate of 18.8% will not be repeated.
- **Upside: discount rates.** A fall in French yields would lift all valuations. At a 7.6% WACC the price is justified in our base case.
- **Integration.** Seven acquisitions in 2026 and €8.7bn of goodwill raise the risk of impairments and of a lower margin. Management guides to a margin of 20.5-21.0%, with acquisitions diluting it by 0.1 point.
- **Europe.** Organic sales fell 0.9% over nine months in a region that is still a large part of the business.
- **Legal.** The 2024 antitrust fine of €43m is under appeal, and a criminal investigation of a French entity continues, with a guarantee of €80.5m ordered in 2022.
- **ESG.** Our ESG score is 80/100 (Leader): MSCI AA, CDP Climate A list and Sustainalytics low risk (15), less five points for the antitrust case.

### Catalysts

- **Full-year 2026 results, 10 February 2027:** fourth-quarter organic growth and the 2027 targets.
- **Analyst upgrades:** AlphaValue flagged 2-5% estimate increases; Goldman Sachs (target €172) and Evercore (€175) are already positive.

- **Hyperscaler spending updates** and data-centre order news from peers.
- **Further acquisitions,** which would add to net debt.

**Method and sources.** Reported figures from the Legrand release of 5 November 2026 and from StockAnalysis (financial statements and statistics). Figures marked E, the DCF, the scenarios and the comparables values are Puccetti Capital Research estimates. Peer data from StockAnalysis on 5 November 2026, not adjusted for accounting differences. The price of €127.50 is the Yahoo Finance close of 5 November 2026; StockAnalysis showed €127.25 at 17:20 CET. Consensus data as shown by StockAnalysis on 5 November.

**Disclosure.** Academic exercise by Mattia Puccetti, BBA student at EDHEC Business School. The author holds no position in Legrand. Not investment advice.

1. Legrand: results for the first nine months of 2026 · market reaction · Q3 versus consensus · Q3 organic growth
2. LR statistics · financials · cash flow · balance sheet · forecast · price history · Yahoo Finance history · OAT yield
3. Peers: Schneider Electric · ABB · Siemens · Eaton · Hubbell · nVent
4. ESG: Legrand non-financial results 2025 · Sustainalytics · competition authority decision, October 2024 · criminal investigation